How to Build a Production-Ready RAG Chatbot

Oct 10, 2026 · @Dee Shawn

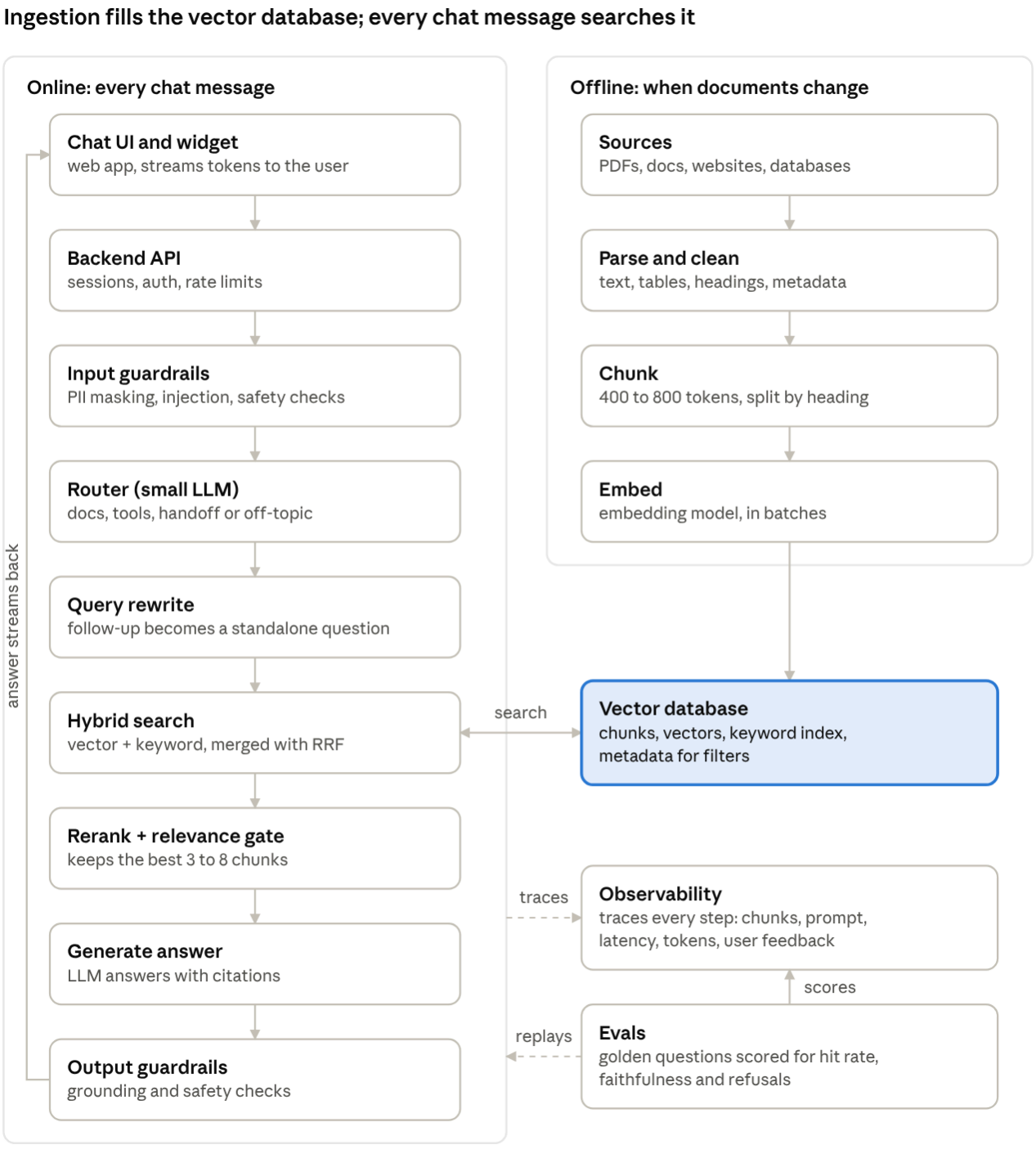
How RAG works

RAG means searching your own data first, then having the LLM answer only from what it found, with citations. No retraining is needed, and answers stay current as documents change.

- **Offline pipeline** (when documents change): load, parse, chunk, embed, store in a vector database.
- **Online pipeline** (every message, 1 to 5 s): input guardrails, route, rewrite query, hybrid search, rerank, generate with citations, output checks, stream back. Every step is traced and evaluated.

Prices and free tiers below are approximate (2026); check vendor pages before choosing.

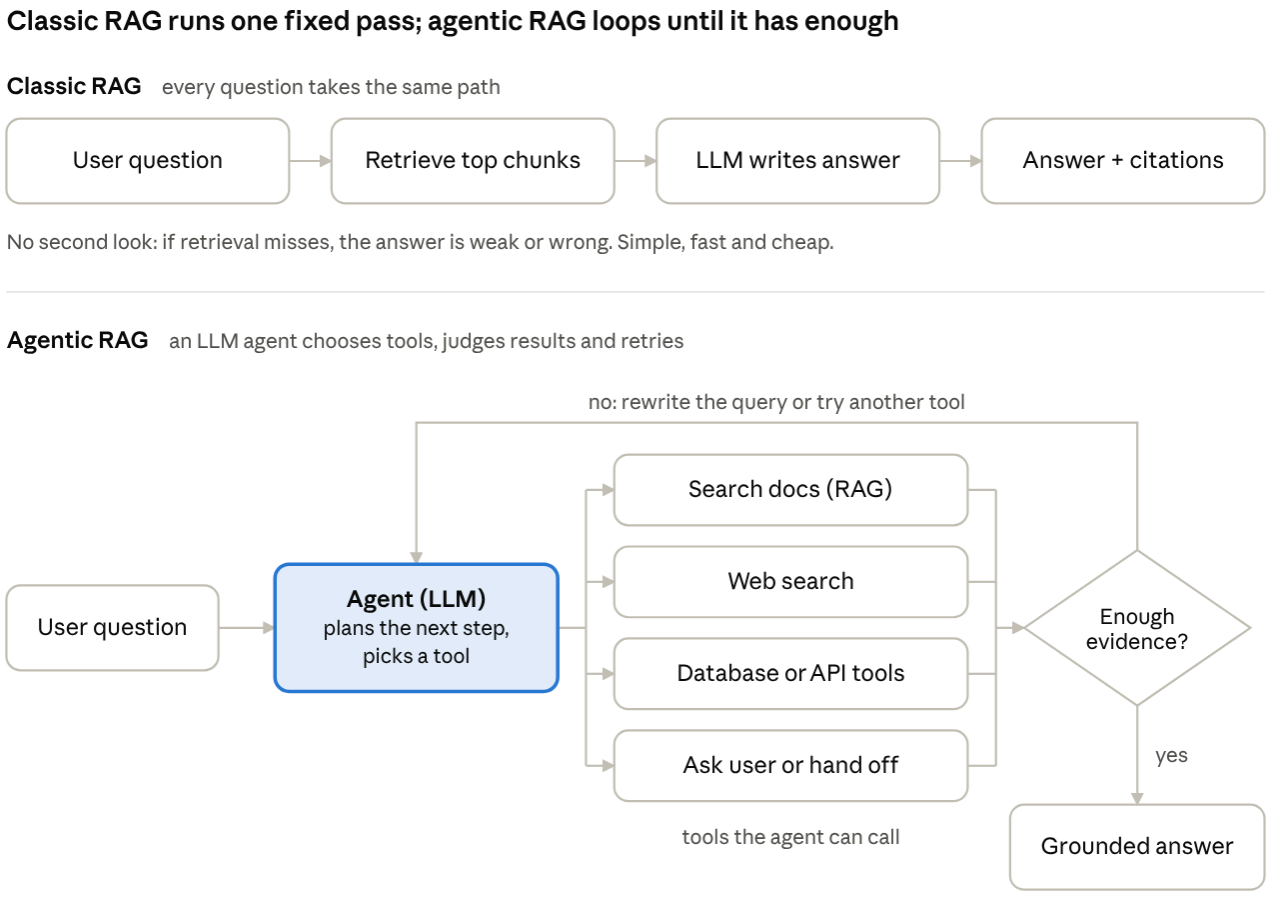
Reference architecture



RAG reference architecture · offline ingestion and online query pipelines

Offline (right) fills the vector database; online (left) runs top to bottom on every message and searches it at the hybrid-search step. Observability records each step, and evals replay test questions through the same pipeline.

Classic RAG vs agentic RAG



classic RAG vs agentic RAG

Classic RAG suits simple Q&A over documents. Agentic RAG suits mixed questions that need several sources or actions; cap retries to control cost and latency. A common production middle ground is a router that picks one path, with one retry when retrieval is weak.

Data ingestion and parsing

Parsing quality caps answer quality: a table mangled here cannot be recovered later. Keep headings and tables, attach metadata (source, title, section, date, access level), and store a content hash so changed or deleted files re-index automatically. Structured data (orders, accounts) is usually better served through tools or APIs than embedded.

Tool	Cost	Best for	Scale
Docling	Free, open source	PDFs with tables, DOCX, to clean Markdown	Local CPU; parallelise with workers
Unstructured	Free library; paid API	Widest file-type coverage	Hosted API scales without ops
LlamaParse	Free tier, then per page	Complex PDFs, charts	Managed; cost grows with pages
LangChain loaders (PyMuPDF, Docx2txt, Sitemap)	Free	Simple PDFs, DOCX, websites	Fine for thousands of docs
Firecrawl / Crawl4AI	Free tier / free open source	Crawling websites into Markdown	Firecrawl hosted handles JS-heavy sites

Scanned documents: Azure Document Intelligence or AWS Textract (paid), Tesseract (free).

Chunking

Default: split by headings, then recursively to 400 to 800 tokens with 10 to 15% overlap, and tune with evals. Never split a table row, store the heading path and source on every chunk, and version the config, because changing it means re-embedding.

Strategy	Use when	Trade-off
Recursive (paragraph, then sentence)	Most plain text	Ignores headings
Structure-aware (by heading)	Manuals, help centers, docs	Needs good parsing
Semantic	Long unstructured prose	Slower, small gains
Parent-child (search small, send big)	Answers need surrounding context	More storage
Contextual (LLM summary prepended)	Retrieval evals show misses	One LLM call per chunk

Tools: LangChain text splitters, LlamaIndex node parsers, Chonkie (all free).

Embeddings

An embedding model turns text into a vector so similar meanings sit close together. The same model must embed documents and questions, and switching models means re-embedding everything, so store the model name on each chunk and keep the provider behind an interface. Compare on the MTEB leaderboard, vector size, multilingual support, price and rate limits.

Model / provider	Cost	Strengths	Scale
Cohere Embed (v3, v4)	Free trial key (not for commercial use); paid per token	Multilingual, query vs document modes	Batches of 96; paid tier scales well
OpenAI text-embedding-3 (small, large)	Paid, very cheap (small about $0.02 per 1M tokens)	Reliable, widely supported	High paid limits
Voyage AI	Free allowance, then paid	Top retrieval quality, domain models	Managed API
Google Gemini embeddings	Free tier, then paid	Strong scores, generous free tier	Good on GCP
Open source (BGE-M3, Nomic, E5, Qwen3)	Free; you pay for compute	Data stays on your servers, no rate limits	Model download (130 MB to several GB); serve with TEI or Ollama

Vector databases

Under about 10 million chunks, Postgres with pgvector is the simplest choice: one database for vectors, keyword search, chat history and business data. Move to a dedicated vector database at larger scale. Must-haves: hybrid search and metadata filtering.

Store	Cost	Hybrid search	Comfortable scale	Ops burden
Postgres + pgvector	Free; free tiers on Supabase, Neon	Yes (with full-text search)	About 10M vectors per node	Low

Store	Cost	Hybrid search	Comfortable scale	Ops burden
Qdrant	Free self-hosted; free 1 GB cloud	Built in	100M+	Medium
Weaviate	Free self-hosted; free sandbox	Built in	100M+	Medium
Pinecone	Free starter; paid serverless	Yes	Billions, fully managed	Very low (lock-in)
Elasticsearch / OpenSearch	Free self-hosted; paid managed	Best keyword search	Billions	High

Also: Chroma (easy prototypes), Milvus, MongoDB Atlas, Redis.

Retrieval and reranking

Hybrid search plus a reranker is usually the biggest single quality win. Vector search finds meaning; keyword search finds exact terms like model numbers and error codes.

1. **Rewrite** the follow-up into a standalone query (optionally multi-query or HyDE).
2. **Filter** by metadata and the user's access level.
3. **Hybrid search:** top 20 to 50 from vector and from keyword search, merged with Reciprocal Rank Fusion.
4. **Rerank** and keep the top 3 to 8.
5. **Relevance gate:** if the best score is low, say "I don't know" or hand off instead of guessing.

Reranker	Cost	Quality	Notes
Cohere Rerank	Free trial key; about $2 per 1,000 searches	Excellent, multilingual	100 to 300 ms
Voyage rerank	Free allowance, then paid	Excellent	Pairs with Voyage embeddings
Jina Reranker	Free tier; open weights	Very good	Can self-host
BGE-reranker (open source)	Free; needs compute	Very good	Fast on GPU only
LLM as reranker	LLM tokens	Good	Slowest, costly at scale

LLMs

Use a strong model for answers and a small, fast one for routing, rewriting and grading. Compare quality, tool-calling reliability, latency, price, rate limits and data-privacy terms. Keep the provider swappable via LangChain `init_chat_model`, LiteLLM or OpenRouter.

Provider	Cost	Strengths	Scale
Groq (Llama, Qwen, GPT-OSS)	Free tier with daily limits; cheap paid	Extremely fast inference	Free tier is for development only
Anthropic Claude (Opus, Sonnet, Haiku)	Paid; prompt caching cuts cost	Grounding, citations, tool use	Enterprise limits; also Bedrock, Vertex
OpenAI GPT	Paid	Broad ecosystem, reliable tools	High limits; also Azure
Google Gemini (Pro, Flash)	Free tier; paid	Long context, cheap Flash	Good on GCP
Self-hosted (vLLM, Ollama: Llama, Qwen, Mistral)	Free models; pay for GPUs	Full data control	Economical only at high steady volume

Orchestration frameworks

A graph framework pays off when the bot routes between documents, tools and human handoff; for one fixed pipeline, plain Python is often cleaner.

Framework	Cost	Best at	Weak spots
LangGraph	Free (paid platform optional)	Stateful agents: routing, loops, tools, human-in-the-loop, memory	Learning curve, API churn
LangChain	Free	Hundreds of integrations, one model interface	Deep abstractions, harder debugging
LlamaIndex	Free (paid cloud optional)	Indexing and advanced retrieval	Less flexible agent control flow
Haystack	Free	Explicit typed pipelines, stable APIs	Smaller ecosystem
Plain Python (+ SDKs, LiteLLM)	Free	Full control, fewest dependencies	You build routing, memory, retries

Tip: keep business logic in plain functions and use frameworks for wiring, so they stay replaceable. Also: Pydantic AI, OpenAI Agents SDK, Claude Agent SDK, CrewAI, DSPy.

Backend, sessions and memory

The backend streams tokens (SSE or WebSockets), manages sessions, authenticates, rate-limits per IP and session, validates input, runs ingestion as background jobs, and retries provider errors (429s) with backoff.

Option	Cost	Best at	Scale
FastAPI (Python)	Free	Async streaming, same language as AI tooling	Horizontal behind a load balancer
LangGraph Platform / LangServe	Free self-hosted (limited); paid cloud	Graphs as APIs with threads and queues	Managed; vendor coupling
Next.js API routes / Node	Free	One TypeScript codebase with the UI	Good; weaker AI tooling
Django + Ninja	Free	Built-in admin, auth, ORM	Heavier, less async

Option	Cost	Best at	Scale
Serverless (Lambda, Cloud Run)	Free tiers, pay per request	Zero idle cost	Cold starts hurt long streams

Memory: persist each thread (LangGraph checkpointer, Postgres or Redis), send the LLM only the last N turns plus a summary, and rewrite follow-ups before searching. Keep security state (such as "verified") server-side, and redact PII before storing. Optional: long-term memory (Mem0, Zep) and a semantic cache for repeated questions.

Frontend / UI

A customer-facing UI needs streaming, clickable citations, thumbs up/down feedback, a "talk to a human" option, mobile and accessibility support, an AI disclaimer, and often an embeddable widget (one script tag, iframe-based) plus an admin panel.

Option	Cost	Best for	Trade-off
Next.js + Vercel AI SDK + shadcn/ui	Free	Polished production chat and widget	Needs React/TypeScript
assistant-ui / CopilotKit	Free; paid extras	Drop-in React chat components	Less design control
Chainlit	Free	Python-only chat with streaming and feedback	Limited branding
Streamlit / Gradio	Free	Demos and internal tools	Not customer-grade
Hosted widgets (Intercom, Botpress, Voiceflow)	Paid, some free tiers	Fast launch with an inbox	Lock-in, less pipeline control

Guardrails

Run cheap checks first (rules, regex) and model-based checks only where needed; each extra LLM call adds latency and cost.

Check	Stage	Cheap way	Stronger way
Prompt injection / jailbreak	Input	Pattern rules, strict system prompt	Llama Prompt Guard, Lakera

Check	Stage	Cheap way	Stronger way
Toxicity / safety	Input, output	Keyword lists	Llama Guard, OpenAI Moderation (free)
PII redaction	Input, logs	Regex	Microsoft Presidio
Off-topic	Input	Router replies politely	NeMo Guardrails topical rails
Grounding / hallucination	Output	Answer-only-from-context prompt, citations, relevance gate	Judge LLM verifies each claim; retry or escalate
Tool safety	Agent	Predefined tools, no free-form SQL	Per-tool permissions, audit logs

Tools: **Llama Guard / Prompt Guard** (free weights, on Groq), **NeMo Guardrails** (free), **Guardrails AI** (free; paid hub), **Presidio** (free), **Lakera / Azure Content Safety / Bedrock Guardrails** (free tiers, then paid).

Evals

Evals are automated quality tests: they turn every prompt, model or chunking change from a guess into a score.

- **Datasets:** a golden set of 30 to 100 question, expected answer and source rows; LLM-generated questions you review; adversarial cases (injection, off-topic, unanswerable); thumbs-down questions from production.
- **Retrieval metrics:** hit rate and recall@k, MRR, context precision.
- **Answer metrics** (LLM-as-judge): faithfulness, correctness, citation accuracy, refusal accuracy, routing and tool accuracy.
- **System metrics:** p50/p95 latency, tokens, cost per conversation.
- **Run them:** offline before each change and as a CI gate; online by grading sampled live traffic.

Tool	Cost	Best at
RAGAS	Free	Standard RAG metrics, synthetic test sets
DeepEval	Free; paid dashboard	Pytest-style tests, red-teaming, CI

Tool	Cost	Best at
Langfuse evals	Free self-hosted or free cloud tier	Datasets, judges on live traces, annotation
LangSmith	Free dev tier; paid	Datasets and evaluators, LangChain-native
Phoenix / Promptfoo / Braintrust	Free open source / free tier	Tracing + evals, red-team testing, experiments

Observability

A trace per request (rewritten query, retrieved chunks and scores, prompt, answer, latency and tokens per step) is the only practical way to debug bad answers. Also track feedback, refusal and handoff rates, errors and daily cost, and record prompt and model versions on every trace.

Tool	Cost	Best at
Langfuse	Free cloud tier; free self-hosted; paid	Traces, prompt management, evals, feedback
LangSmith	Free dev tier; paid	Deepest LangChain/LangGraph integration
Arize Phoenix	Free open source	OpenTelemetry traces + evals, local
Helicone	Free tier, then paid	Proxy logging and cost tracking
OpenTelemetry + Grafana / Datadog	Grafana free; Datadog paid	Infrastructure metrics and alerts

Deployment

Dockerise every service from day one so moving from laptop to cloud is a config change. Add CI/CD (GitHub Actions: lint, tests, evals, deploy), a secret manager (never commit keys), migrations on deploy, daily database backups, and separate dev, staging and production environments.

Option	Cost	Good for
Docker Compose (local or one VM)	Free; VM about $5 to $20/month	Development, demos, small production
Vercel + Render / Railway / Fly.io + Supabase / Neon	Free tiers, then usage-based	Cheapest real deployment
AWS (ECS / App Runner, RDS, Bedrock)	Pay as you go	Enterprise, compliance
Google Cloud (Cloud Run, Cloud SQL, Vertex AI)	Free credits, then paid	Simple autoscaling containers
Azure (Container Apps, Azure OpenAI)	Paid	Microsoft-centric companies

Kubernetes only once you have many services and a team to run it.

Security and privacy

- **Access control in the search query:** tag chunks with who may see them and filter at retrieval; never rely on the LLM to hide data.
- **Tools:** predefined and parameterised, authorised server-side (verify identity before personal data), no free-form SQL.
- **Indirect injection:** treat retrieved text as data, wrapped in delimiters, never as instructions.
- **Basics:** keys only on the server, HTTPS, least-privilege database users, rate and length limits, CORS allow-list.
- **Privacy:** redact PII before logs and third-party APIs, set retention, support deletion (GDPR/CCPA), check provider data-use terms.

Cost and scaling

The LLM is usually 70 to 90% of running cost. The architecture stays the same as you grow; the tiers change.

Stage	Traffic	What changes	Monthly cost (approx.)
Build / demo	Under 100 chats/day	Free tiers, Docker Compose	$0

Stage	Traffic	What changes	Monthly cost (approx.)
Early production	Up to 10k chats/day	Paid LLM and embeddings, managed database, Redis	$50 to $500
Growth	10k to 100k chats/day	Autoscaling, queue workers, semantic cache, model routing	$500 to $5,000
Large scale	100k+ chats/day	Dedicated vector DB, multi-region, fallbacks, maybe self-hosted models	$5,000+

Levers: prompt caching, semantic cache, small models for easy steps, fewer and better chunks, streaming (first token under 1 s), spend caps and alerts, automatic provider fallback.

Production checklist

- [ ] Index stays fresh: changed and deleted documents re-index automatically
- [ ] Says "I don't know" or hands off when retrieval is weak
- [ ] Citations on every factual answer
- [ ] Human handoff with transcript
- [ ] Prompts, models, chunking and embedding versions recorded on traces
- [ ] Retries, backoff and provider fallback on rate limits
- [ ] Feedback flows into the eval set; eval gate in CI
- [ ] Tables, images and scanned pages parsed correctly
- [ ] Accessibility and AI disclosure in the UI
- [ ] Data retention and deletion
- [ ] Cost alerts and spend caps
- [ ] Load test before launch (Locust, k6) and a failure runbook

Quick picks by stage

Layer	Free starter	Production scale-up
LLM	Groq or Gemini free tier	Claude, OpenAI or Gemini paid, with fallback
Embeddings	Cohere trial or open-source BGE	Voyage, OpenAI or Cohere paid

Layer	Free starter	Production scale-up
Reranker	Cohere trial or BGE-reranker	Cohere or Voyage paid
Vector store	Postgres + pgvector	pgvector managed, or Qdrant / Pinecone at very large scale
Framework	LangGraph + LangChain, or plain Python	Same
Backend / UI	FastAPI + Next.js	Same, autoscaled
Guardrails	Regex PII + Llama Guard + grounding prompt	Add judge-based grounding, Presidio, NeMo
Evals / tracing	Custom pytest or RAGAS + Langfuse free	CI gate + online evals, Langfuse or LangSmith paid
Hosting	Docker Compose	Cloud containers + managed Postgres